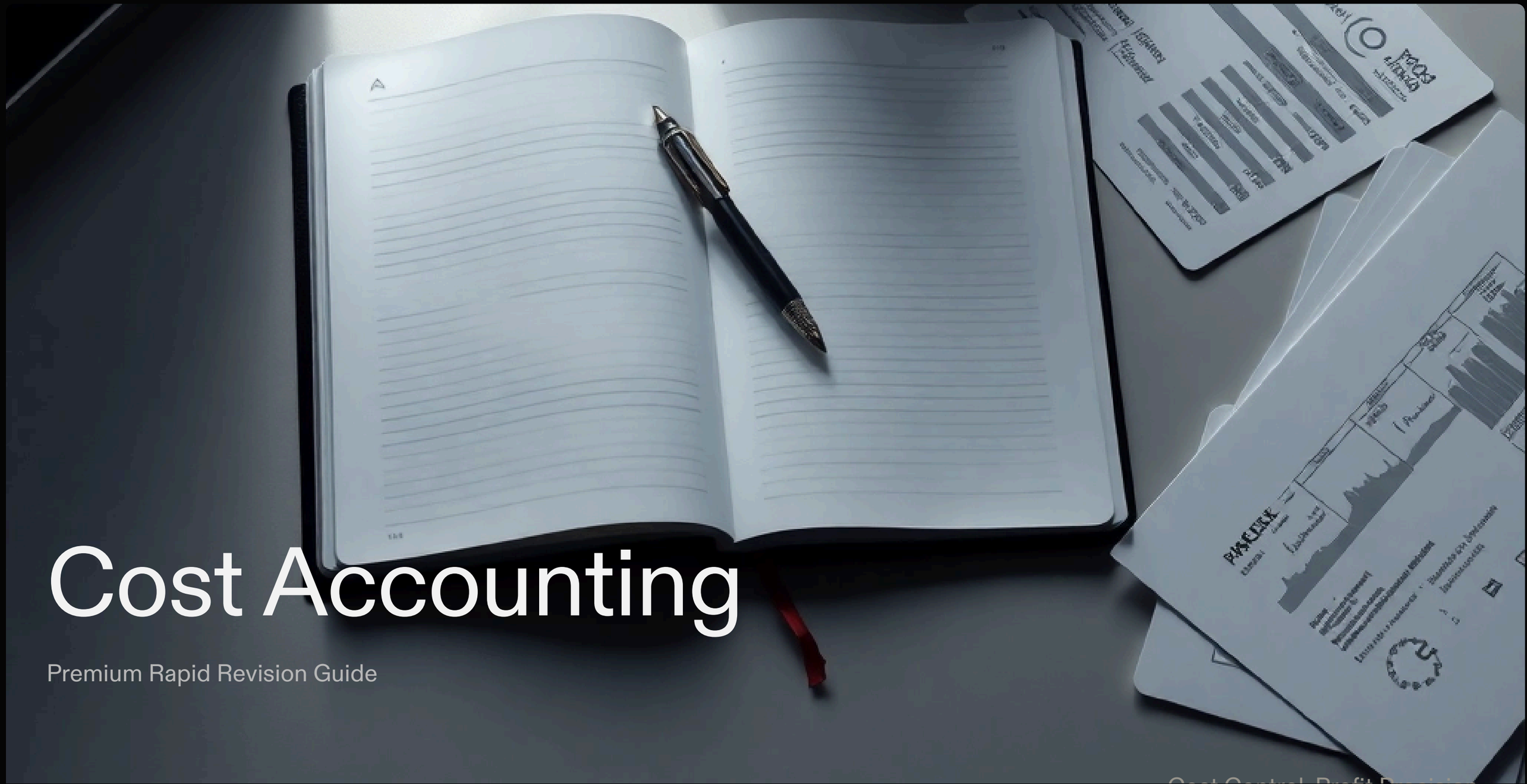

Cost Accounting

Premium Rapid Revision Guide

Cost Control, Profit Decisions

Introduction to Cost Accounting

What is Cost Accounting?
The process of recording, classifying, and analyzing costs to assist management in decision-making, cost control, and profitability analysis.
Objectives

- Ascertain the cost of production
- Control costs through budgets and standards
- Assist in pricing decisions
- Aid in profit planning and management decisions

Importance

- Provides detailed cost data not available in financial accounting
- Helps identify wastage and inefficiency
- Enables competitive pricing

Financial Accounting vs Cost Accounting

- **Purpose:** External reporting | Internal decision-making
- **Nature:** Historical | Historical + Predictive
- **Scope:** Whole business | Per unit / product
- **Legal:** Mandatory | Voluntary
- **Focus:** Profit / Loss | Cost control & reduction

Cost Classification

THREE BASES OF CLASSIFICATION

Costs in manufacturing can be classified in three fundamental ways — by their nature, their behaviour with output, and their functional role in the business.

BASED ON NATURE

Direct Cost

Directly traceable to a product — e.g., raw materials, direct labour.

Indirect Cost

Not directly traceable — e.g., factory rent, supervisor salary.

BASED ON BEHAVIOUR

Fixed Cost

Constant regardless of output — e.g., rent, insurance.

Variable Cost

Changes proportionally with output — e.g., raw material, direct wages.

Semi-variable Cost

Partly fixed, partly variable — e.g., electricity, telephone.

BASED ON FUNCTION

Production Cost

Incurred in manufacturing — e.g., raw material, factory wages.

Administrative Cost

General management — e.g., office salaries, stationery.

Selling & Distribution Cost

To sell and deliver — e.g., advertising, freight.

Cost Sheet Preparation

Formula Structure

Prime Cost
Direct Material + Direct Labour + Direct Expenses

Factory Cost
Prime Cost + Factory/Works Overheads

Cost of Production
Factory Cost + Office & Admin Overheads

Cost of Goods Sold
Cost of Production + Opening Finished Goods − Closing Finished Goods

Cost of Sales
Cost of Goods Sold + Selling & Distribution Overheads

Profit
Sales − Cost of Sales

Example 1 — 1,000 units

Raw material: ₹50,000 | Direct labour: ₹20,000
Factory OH: ₹10,000 | Office OH: ₹5,000 | Selling OH: ₹3,000

Prime Cost = ₹70,000
Factory Cost = ₹80,000
Cost of Production = ₹85,000
Cost of Sales = ₹88,000
Cost per unit = ₹88

Example 2 — With Stock Adjustment

Opening RM: ₹10,000 | Purchases: ₹40,000 | Closing RM: ₹5,000
Direct wages: ₹15,000 | Factory OH: ₹8,000
Admin OH: ₹4,000 | Selling OH: ₹2,000 | Sales: ₹90,000

Direct Material = 10,000 + 40,000 − 5,000 = ₹45,000
Prime Cost = ₹60,000
Factory Cost = ₹68,000
Cost of Production = ₹72,000
Cost of Sales = ₹74,000
Profit = ₹16,000

Cost Sheet
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Prime Cost

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Cost of Sales

Profiit

Break Even Analysis

Key Formulas

Contribution = SP − VC per unit

P/V Ratio = (Contribution / Sales) × 100

BEP (Units) = Fixed Cost / Contribution per unit

BEP (Sales ₹) = Fixed Cost / P/V Ratio

Profit = (Contribution × Qty Sold) − Fixed Cost

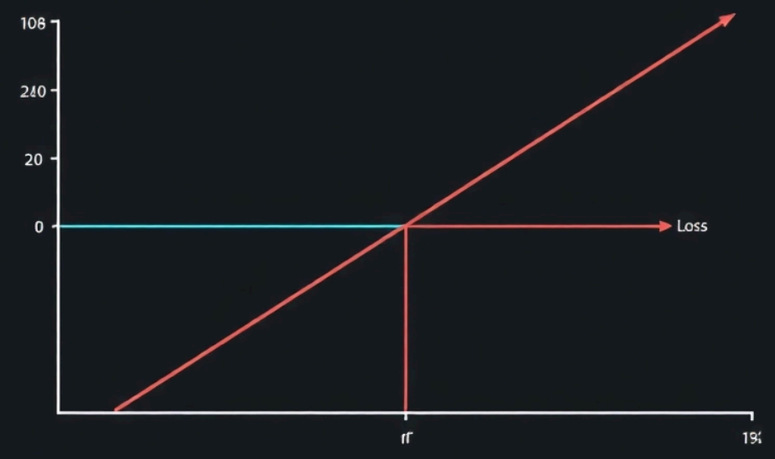
Margin of Safety = Actual Sales − BEP Sales

MoS Ratio = (MoS / Actual Sales) × 100

Problem 1 — Basic BEP
SP = ₹100, VC = ₹60, FC = ₹80,000
Contribution = ₹40 | P/V Ratio = 40%
BEP (Units) = 2,000 units
BEP (Sales) = ₹2,00,000

Problem 2 — Profit Target
FC = ₹1,20,000 | CPU = ₹50
Desired Profit = ₹30,000
Units Required = (1,20,000 + 30,000) / 50
= 3,000 units

Problem 3 — Margin of Safety
Actual Sales = ₹5,00,000
BEP Sales = ₹3,00,000
MoS = ₹2,00,000 | MoS Ratio = 40%



Marginal vs Absorption Costing

Two methods of treating fixed costs — with very different impacts on profit and stock valuation.

NUMERICAL ILLUSTRATION

Production = 1,000 units | Sales = 800 units
VC/unit = ₹40 | FC = ₹20,000 | SP = ₹80

Marginal Costing
Contribution = (80−40) × 800 = ₹32,000
Profit = 32,000 − 20,000 = ₹12,000

Absorption Costing
FC/unit = 20,000 ÷ 1,000 = ₹20 → Total cost = ₹60
Profit = (80−60) × 800 = ₹16,000

Difference = ₹4,000 (closing stock absorbs FC)

Basis	Marginal Costing	Absorption Costing
STOCK VALUATION	Variable cost only	Full cost (fixed + variable)
FIXED COST TREATMENT	Period cost Written off entirely	Product cost Absorbed into units
PROFIT CHANGES WITH	Sales volume	Production volume
PRIMARY USE	Internal decisions	External reporting
PROFIT FORMULA	Contribution − FC	Sales − Total absorbed cost

Standard Costing & Variance Analysis

Predetermined cost benchmarks measured against actual outcomes

Material Variances

MCV Standard Cost of Actual Output − Actual Cost

MPV (Std Price − Actual Price) × Actual Qty

MUV (Std Qty − Actual Qty) × Std Price

Labour Variances

LCV Standard Cost of Actual Output − Actual Cost

LRV (Std Rate − Actual Rate) × Actual Hours

LEV (Std Hours − Actual Hours) × Std Rate

Favourable (F) = Standard > Actual
Adverse (A) = Actual > Standard

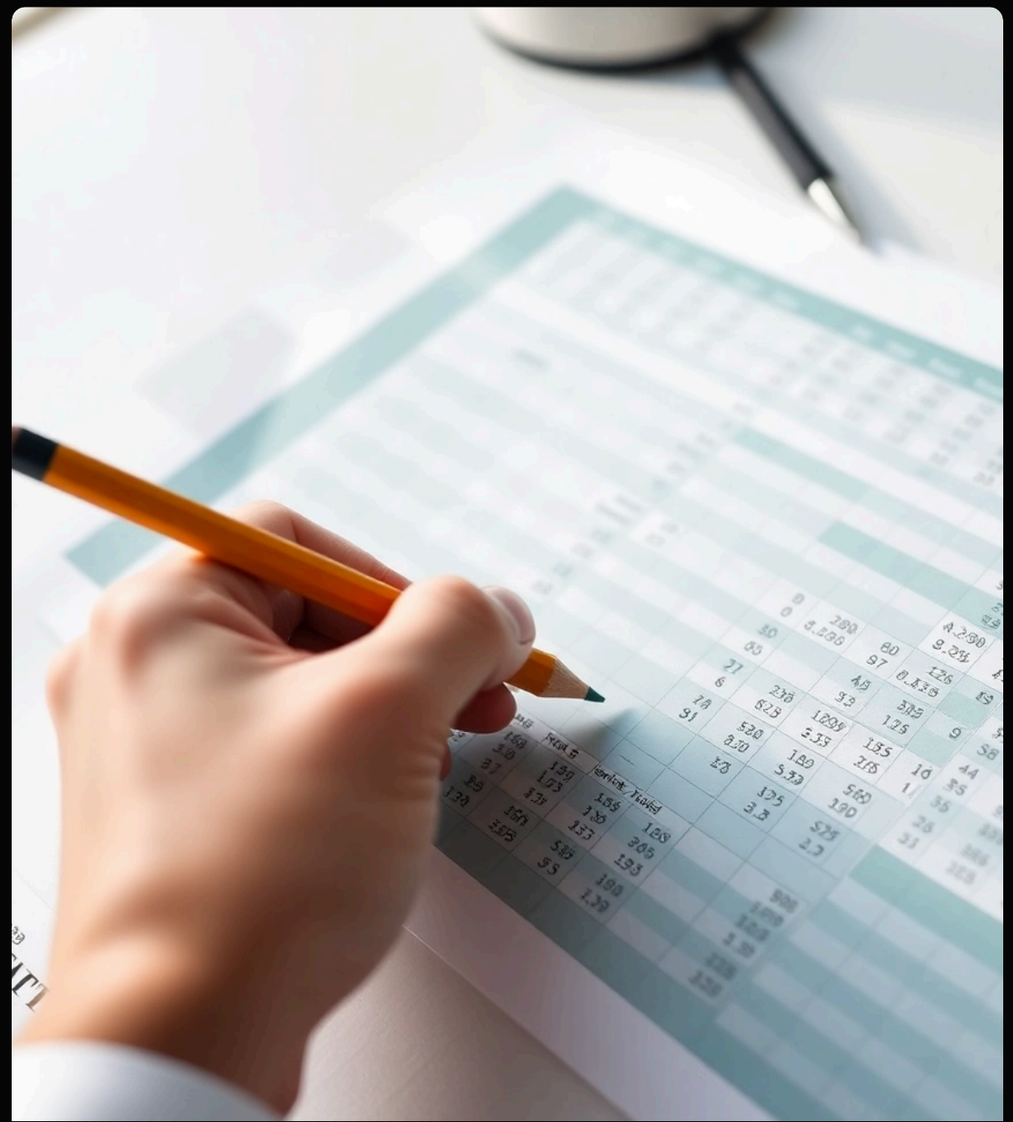
Solved Example

Given: Std 5 kg @ ₹10/kg = ₹50/unit
Actual 6 kg @ ₹9/kg = ₹54/unit
Output = 100 units

Std Cost 100 × ₹50 = ₹5,000
Actual Cost 100 × ₹54 = ₹5,400

MCV 5,000 − 5,400 = ₹400 (A)
MPV (10−9) × 600 = ₹600 (F)
MUV (500−600) × 10 = ₹1,000 (A)

Verification:
MCV = MPV + MUV
600(F) − 1,000(A) = ₹400 (A) ✓



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Budgeting — a formal written plan expressed in financial or quantitative terms for a future period.

TYPES OF BUDGETS

Fixed Budget

- Prepared for one level of activity
- Does not change with actual output
- Useful when output is predictable

Flexible Budget

- Prepared for multiple activity levels
- Adjusts with actual output
- More realistic; better for cost control

Cash Budget

- Shows expected cash inflows & outflows
- Opening balance + Receipts − Payments = Closing

ADVANTAGES OF BUDGETING

- Establishes financial discipline
- Helps in resource allocation
- Provides basis for performance measurement
- Identifies potential cash shortfalls in advance
- Encourages coordination across departments

Most Repeated University Questions

📊 Long Numerical Questions

Prepare cost sheets, find BEP in units & sales, compute P/V ratio & margin of safety, compare profits under marginal vs absorption costing, calculate all material & labour variances, prepare flexible & cash budgets.

📝 Short Theory Questions

Define cost accounting & objectives, distinguish direct vs indirect cost, explain contribution & P/V ratio, differentiate fixed vs flexible budgets, define standard costing, material price variance, labour efficiency variance.

Break-Even & Costing

Find BEP units & sales, compute MoS ratio, compare marginal vs absorption profits with closing stock, calculate contribution at given sales volumes, apply P/V ratio to find BEP sales.

Variance Analysis

Compute MCV, MPV, MUV, labour rate & efficiency variances. Reconcile standard vs actual cost. Interpret adverse vs favourable variances and their causes in procurement & production decisions.

Mixed Application Questions

Assess profitability at a given sales volume, analyse impact of FC reduction on BEP, compare P/V ratios across products, use flexible budget to explain variance, find BEP & profit from P/V ratio & FC data.

Quick Tricks & Exam Strategy

01 **Contribution Shortcut:** Contribution = SP − VC (per unit). If totals given: Contribution = Total Sales − Total Variable Cost.

02 **P/V Ratio Fast Method:** P/V Ratio = Contribution per unit ÷ SP per unit × 100. Shortcut: if BEP sales & FC are known, PVR = FC ÷ BEP Sales.

03 **Margin of Safety Shortcut:** MoS = Profit ÷ P/V Ratio. MoS Ratio = Profit ÷ Total Contribution × 100.

04 **Cost Sheet Structuring Trick:** Always start from RM consumed, not purchases. RM Consumed = Opening RM + Purchases − Closing RM. Never add selling overheads before cost of production.

05 **Variance Reconciliation Rule:** Always verify MCV = MPV + MUV. Label every line as per unit or total. Write formulas before substituting numbers.

06 **Final Check Habits:** Circle your BEP answer and verify by substituting back. Underline what is asked (units, sales, profit) before starting any costing question.

One Page Rapid Revision Sheet

01 Cost Classification

By nature: Direct / Indirect
By behavior: Fixed / Variable / Semi-variable
By function: Production / Administration / Selling & Distribution

02 Cost Sheet Formulas

Prime Cost = DM + DL + DE
Factory Cost = Prime Cost + Factory OH
Cost of Production = Factory Cost + Admin OH
Cost of Sales = Cost of Production + Selling OH
Profit = Sales − Cost of Sales

03 Break Even Analysis

Contribution = SP − VC
P/V Ratio = (C / S) × 100
BEP (Units) = FC / C per unit
BEP (Sales) = FC / PVR
MoS = Actual Sales − BEP Sales
Profit = MoS × P/V Ratio

04 Variance Analysis

Material: MCV = SC of AO − AC
MPV = (SP − AP) × AQ
MUV = (SQ − AQ) × SP
Labour: LCV = SC of AO − AC
LRV = (SR − AR) × AH
LEV = (SH − AH) × SR

05 Budgeting Basics

Fixed Budget: one activity level
Flexible Budget: multiple activity levels
Cash Budget: inflows − outflows = net cash position
Key purpose: plan, control, and coordinate

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